

Right to Employment Act, 2018

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Chapter-1

Preliminary

1. Short Title and Commencement: (1) This Act may be cited as the "Right to Employment Act, 2075 (2018)".
- (2) It shall come into force immediately. 2. Definitions: Unless the subject or context otherwise requires, in this Act, -
 - (a) "Prescribed" or "as prescribed" means prescribed or as prescribed in the rules made under this Act.
 - (b) "Subsistence allowance" means the subsistence allowance pursuant to Section 22.
 - (c) "Minimum employment" means a minimum period of at least one hundred days of employment provided in a fiscal year pursuant to this Act.
 - (d) "Family" means a husband, wife, son, daughter, adopted son, adopted daughter, father, mother, or step-mother living together in a joint household, and the term also includes grandparents whom one must support themselves.
 - (e) "Unemployed person" means a citizen of the age group of eighteen years to fifty-eight years who has not been engaged in employment for a minimum of one hundred days in a fiscal year or has not been engaged in self-employment generating income as prescribed.
 - (f) "Unemployment assistance" means the assistance program pursuant to Section 20 provided to an unemployed person.
 - (g) "Ministry" means the Ministry of Government of Nepal dealing with matters relating to labour, employment and social security.
 - (h) "Self-employment" means the production of any goods or services, trade of such goods or services, or operation of any industry or trade business or any similar enterprise or income-generating activity by mobilizing one's own labour, skill, knowledge, resources, means and capital.
 - (i) "Employer" means the Government of Nepal, Provincial Government, Local Level and offices and bodies subordinate thereto, public corporations and organized institutions, industries, establishments and employment-oriented institutions operating pursuant to law that employ an unemployed person pursuant to this Act, and the term also includes a person who provides private employment opportunities.
 - (j) "Employment Service Center" means an Employment Service Center established pursuant to Section 10 to provide services related to collecting information of unemployed persons, identifying and disseminating information on employment opportunities, providing information on labor availability for employers, and other employment-related services.
 - (k) "Committee" means the Steering Committee pursuant to Section 17.

(l) "Local Level" means a Rural Municipality or a Municipality. Chapter-2

Right to Employment

3. Right to Employment: (1) Every citizen shall have the right to get employment.

(2) For the purpose of subsection (1), every citizen shall have the right to fair labor practices subject to this Act or prevailing law. 4.

Right to Choose Employment: (1) Every citizen shall have the right to choose the employment he/she wants.

(2) Every citizen shall have the right to voluntarily engage in employment according to qualification and capability, and the right to leave or change such employment, subject to this Act and prevailing law. (3) No

one shall force or compel any citizen to engage in or be placed in employment against his/her will or in employment he/she does not desire. 5. Right to Receive Unemployment Assistance: Every unemployed

person shall have the right to receive unemployment assistance pursuant to this Act. 6. Prohibition of Discrimination: No one shall discriminate against an unemployed person regarding providing employment on

the grounds of origin, religion, color, race, caste, sex, language, region, ideological conviction, or any similar grounds, except where the prevailing law makes special provisions for a particular class or community. 7.

Prohibition Against Removal from Employment: (1) A person in employment shall not be removed from employment without cause, except pursuant to prevailing law. (2) If a person in employment is removed from

employment except according to the law relating to service conditions applicable to him/her, the person so removed may submit a petition with reasons to the concerned Employment Service Center for his/her

reinstatement in employment. (3) Upon receiving a petition pursuant to subsection (2), the Employment Service Center shall forward it to the concerned Local Level for necessary inquiry into the reasons for

removing the person in employment from employment. (4) If, upon making the necessary inquiry into the petition forwarded pursuant to subsection (3), it is found that the person was removed from employment

without cause, the concerned Local Level may direct the employer to keep the petitioner employed. 8. Operation of Employment Program: (1) The Government of Nepal, Provincial Government, and Local Level

shall, after the commencement of this Act, operate necessary employment programs to provide minimum employment to unemployed persons. (2) While operating programs pursuant to subsection (1), priority shall

be given to women, Dalits, economically impoverished persons, families of martyrs, and families of disappeared persons. (3) Other provisions relating to the operation of programs pursuant to subsection (1)

shall be as prescribed. 9. Authority to Decide: If a question arises as to whether a person is unemployed or not, the concerned Local Level shall decide the matter based on the basis as prescribed. Chapter-3

Employment Service Center 10.

Employment Service Center: (1) The Government of Nepal shall, by publishing a notice in the Nepal Gazette, establish one Employment Service Center in each Local Level to function under the Local Level. (2) The

responsibility for direction, coordination, and facilitation from the federal level of the work of the Employment Service Center shall be with the Ministry. (3) Other provisions relating to the operation of the Employment

Service Center pursuant to subsection (1) shall be as prescribed. 11. Submission of Application: (1) An unemployed person wishing to engage in minimum employment pursuant to this Act may submit an

application containing his/her details along with mentioning his/her skill, qualification, or capability to the concerned Employment Service Center within the period as prescribed and in the format as prescribed. (2)

Upon receiving the application pursuant to subsection (1), the Employment Service Center shall make necessary inquiry, prepare a list of genuinely unemployed persons, and maintain updated records. (3) The

Employment Service Center shall provide the updated records pursuant to subsection (2) to the Government

of Nepal and the concerned Provincial Government as prescribed. 12. Obligation to Provide Information: (1) If any person who has submitted an application at the Employment Service Center pursuant to Section 11, before being recommended for employment pursuant to Section 16, becomes engaged in employment elsewhere through personal efforts or engages in self-employment, or is no longer willing to participate in employment provided pursuant to this Act or to receive unemployment assistance, he/she shall promptly inform the Employment Service Center of that fact. (2) If someone provides information pursuant to subsection (1), the Employment Service Center shall remove the name of such person from the record of the list of unemployed persons. 13.

Obligation to Maintain Employer's Details: (1) The Employment Service Center shall keep an updated list of employers within its area. (2) In the work of updating the list pursuant to subsection (1), the Employment Service Center may, in addition to the Local Level, write to any governmental or non-governmental body or association/organization to provide details of employers within the concerned Local Level as requested. (3) Upon receiving a written request from the Employment Service Center pursuant to subsection (2), all concerned bodies shall provide the details of employers under them or the details of work undertaken by them and the manpower required for such work to the Employment Service Center in the prescribed format. (4) The Employment Service Center shall send the details of employers pursuant to this Section to the Ministry and the concerned Provincial Government. (5) Other provisions relating to the collection and updating of employer details shall be as prescribed. 14. Employer May Demand Workers: (1) An employer shall provide notice to the Employment Service Center specifying the number, qualification, and duration of workers required for any work. (2) An employer may, for any work, demand workers required at the local level through the Employment Service Center. (3) While demanding workers pursuant to subsection (1) and (2), the employer shall send a written request to the Employment Service Center in the format as prescribed, specifying the number of workers, qualification, capability, skill of workers, and nature of work. 15. Providing Employment Information: The Employment Service Center shall make available information regarding the availability of workers needed for employers within its area and employment opportunities for listed unemployed persons. 16. Obligation to Provide Employment to Unemployed Persons: (1) Upon receiving a demand for workers from an employer pursuant to Section 14, the Employment Service Center shall send a written recommendation to the concerned employer for the employment of the unemployed person listed pursuant to Section 11 (1) based on his/her qualification, skill, and experience. (2) An employer in the government or public sector must assign the person sent for employment pursuant to subsection (1) to work according to his/her qualification and skill pursuant to prevailing law, and an employer in the private sector may assign such a person to available work according to his/her qualification and skill. Such person shall perform the work assigned by the employer. (3) The daily wage rate provided by the employer for assigning work pursuant to subsection (2) shall be as determined by the Ministry. (4) The Employment Service Center shall remove a person who does not perform the work assigned by the employer pursuant to subsection (2) from the list of unemployed persons. Chapter-4 Steering Committee 17.

Steering Committee: (1) There shall be a Steering Committee as follows for the conduct, supervision, and direction of work and activities relating to the protection of citizens' right to employment: - (a) Minister/Minister of State, Ministry of Labour, Employment and Social Security - Chairperson (b) Member, National Planning Commission (looking after the concerned subject) - Member (c) Secretary, Ministry of Labour, Employment and Social Security - Member (d) Secretary, Ministry of Finance - Member (e) Secretary, Office of the Prime Minister and Council of Ministers (looking after the concerned subject) - Member (f) Secretary, Ministry of Industry, Commerce and Supplies - Member (g) Secretary, Ministry of Physical Infrastructure and Transport - Member (h) Joint Secretary, Ministry (looking after the Prime Minister Employment Program) -

Member-Secretary (2) There shall be Steering Committees at the Provincial and Local Level as prescribed. (3) The secretariat of the Committee pursuant to subsection (1) shall be located at the Ministry. 18. Meeting of the Committee: (1) The meeting of the Committee shall be held on the date, time, and place specified by the Chairperson. (2) At least two persons, including at least one woman, ensuring representation of employers and workers, shall be invited to the meeting of the Committee. (3) The decision of the Committee shall be certified and kept by the Member-Secretary. (4) The procedure relating to the meeting of the Committee shall be as determined by the Committee itself. (5) Other provisions relating to the meeting of the Committee and implementation of its decisions shall be as prescribed. 19. Functions, Duties and Powers of the Committee: The functions, duties and powers of the Committee shall be as follows: - (a) To analyze and project labor market demand and the availability of existing manpower, (b) To recommend to the Government of Nepal necessary policies for arranging employment or self-employment for unemployed persons, (c) To provide guidance to Provincial Governments and Local Levels regarding the preparation of updated records of unemployed persons, (d) To prepare policies and programs relating to unemployment assistance provided by the state to unemployed persons, (e) To provide policy advice to the Government of Nepal regarding subsistence allowance provided to unemployed persons, (f) To coordinate among the Government of Nepal, Provincial Governments, and Local Levels regarding the operation of employment programs, (g) To evaluate the implementation of the unemployment assistance program. Chapter-5 Relating to Unemployment Assistance 20.

Unemployment Assistance Program: (1) The Government of Nepal, Provincial Government, and Local Level shall implement the following programs for unemployment assistance: - (a) Provide information relating to employment opportunities, (b) Provide employment-oriented and skill-oriented training, (c) Provide concessional loans for self-employment through banks and financial institutions, (d) Create self-employment, (e) Carry out other programs as prescribed. (2) Other provisions relating to the unemployment assistance program pursuant to subsection (1) shall be as prescribed. 21. Obligation to Work: (1) A person who has received training under the unemployment assistance program pursuant to this Act shall go to the location or area assigned by the Employment Service Center and perform the work as prescribed. (2) A person who fails to go to or refuses to work in the area assigned pursuant to subsection (1) shall be removed from the list of unemployed persons and shall not be provided the subsistence allowance pursuant to Section 22. 22. Providing Subsistence Allowance: (1) If the Government of Nepal fails to provide minimum employment to an unemployed person listed with the Employment Service Center, it shall provide a subsistence allowance, subject to the conditions as prescribed, equivalent to fifty percent of the amount equal to one hundred days of the minimum remuneration determined by the Ministry in one fiscal year. (2) Notwithstanding anything contained in subsection (1), if an unemployed person receives employment for a period of less than one hundred days in a fiscal year, a subsistence allowance equivalent to fifty percent of the minimum remuneration determined by the Ministry for the remaining period required to complete one hundred days shall be provided. (3) An unemployed person receiving subsistence allowance pursuant to subsection (1) must comply with the conditions as prescribed. (4) The subsistence allowance pursuant to this Section shall be provided only in the following circumstances: - (a) If no member of the family has obtained employment as prescribed, (b) For families with annual income less than that determined by the Government of Nepal, (c) If no member of the family is self-employed, (d) If no member of the family has gone for foreign employment. Explanation: Added by Some Nepal Acts Amendment Act, 2082 (2025).

For the purpose of this subsection, "foreign employment" means the situation of going abroad for work after obtaining a labor permit from the Government of Nepal. (5) Notwithstanding anything contained in subsection (4), the subsistence allowance shall not be provided to the family of a person who is receiving regular

pension or retirement benefits from a government fund or another country or an international or intergovernmental association, organization, or any other institution, or receiving any kind of regular assistance from the Social Security Fund or other funds relating to the assistance of the Government of Nepal, or from an employer. Explanation: For the purpose of this Section, "government fund" means any of the following funds: - (a) The Consolidated Fund of the Government of Nepal, Provincial Government, or Local Level or other government fund, (b) The fund of a local institution, corporation, board, authority, establishment, or any similar body wholly or partially owned by the Government of Nepal, Provincial Government, or Local Level, (c) A fund operated from grants received from the Government of Nepal, Provincial Government, or Local Level, (d) A fund established pursuant to prevailing law to provide pension to a person holding a public office. (6) Other provisions relating to the subsistence allowance provided pursuant to this Section shall be as prescribed. 23. Budgetary Provision: The budget required for programs operated pursuant to this Act shall be arranged from the annual budget appropriation of the Government of Nepal, Provincial Government, and Local Level. Chapter-6 Offences and Penalties 24. Complaint: (1) Anyone who knows about an offence committed or about to be committed under this Act may file a complaint at the concerned Labour and Employment Office within thirty-five days. (2) Other provisions relating to complaints shall be as prescribed. 25. Deemed to Have Committed Offence: If any person commits any of the following acts, he/she shall be deemed to have committed an offence under this Act: - (a) If an act contrary to Section 4 (3) is committed, (b) If a person providing employment discriminates contrary to Section 6, except as permitted by prevailing law, (c) If an employer removes a person from employment contrary to Section 7, (d) If false details are submitted to obtain unemployment assistance or subsistence allowance under this Act, (e) If the unemployment assistance amount received for a specific purpose is not used for that purpose and is used elsewhere. 26.

Penalty: (1) If any person commits an offence as follows, the Labour and Employment Office shall, depending on the gravity of the offence, impose the following penalty on the person or institution committing such offence: - (a) For committing an offence pursuant to Section 25 (a), a fine of twenty-five thousand rupees, (b) For committing an offence pursuant to Section 25 (b) and (c), a fine of ten thousand rupees, (c) For committing an offence pursuant to Section 25 (d), if such unemployment assistance or subsistence allowance has been obtained, recovery of that amount and a fine equal to the same amount, (d) For committing an offence pursuant to Section 25 (e), recovery of the amount received as unemployment assistance and a fine equal to the same amount. (2) The concerned Labour and Employment Office shall send a written notice to the concerned Local Level to suspend the services and facilities provided to a person or institution who fails to pay the fine imposed pursuant to subsection (1) within the prescribed period. (3) The fine pursuant to subsection (1) shall be recovered from the concerned person or institution as a government due. (4) Notwithstanding anything contained elsewhere in this Section, if an act under this Act is also deemed an offence under other prevailing law, the provision of this Section shall not prevent a separate case from being filed and punished under such law for such offence; and if a person is liable for a greater punishment under prevailing law for any act contrary to this Act than that mentioned in this Section, the punishment shall be according to such law. 27. Appeal: (1) A party aggrieved by a decision made by the Labour and Employment Office under this Act may file an appeal at the Labour Court within thirty-five days from the date of the decision. (2) The decision made by the Labour Court pursuant to subsection (1) shall be final. Chapter-7 Miscellaneous 28. Formation of Sub-Committee or Task Force: (1) The Committee may, as required, form a sub-committee or task force to implement this Act. (2) The terms of reference of the sub-committee or task force formed pursuant to subsection (1) shall be as specified by the Committee. 29. Monitoring and Inspection: The Ministry, Province, and Local Level shall regularly monitor and inspect programs operated

under this Act. 30.